

design houses. Here is what we found based on our study of, and detailed discussion with, ten randomly-chosen India design centres. In Part 2 of this article, next month, we will look at the growth and challenges facing independent design houses in India.

Telecom and automotive keeping IDCs busy

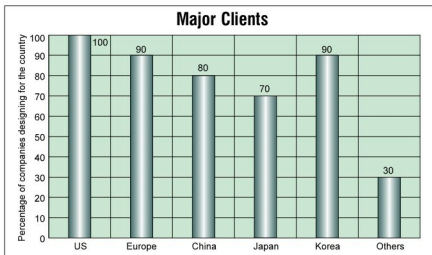
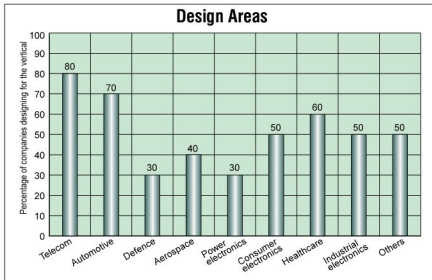
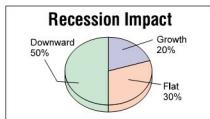
Telecom-related electronics comprises a major chunk of the design work done by IDCs. Eighty per cent of the respondent companies designed for the telecom sector. Seventy per cent also designed for the automotive sector, followed by healthcare (60 per cent)—a vertical where the maximum amount of design was being done by Indian centres, according to the interviewees. Industrial and consumer electronics (50 per cent each), and aerospace (40 per cent) are also notable design areas. Some of the other areas for which designing is being done in India are defence, information technology (IT), networking, processors, security and space avionics.

USA and Europe are key markets

Almost all the IDCs studied were creating designs for USA, making it the largest market. Other significant consumers included Korea and European countries like Germany, France, Sweden and the UK, followed by China and Japan. Some of the design houses serviced Taiwan and Singapore too.

Revival from recession

Most IDCs recorded growth ranging between 20 and 40 per cent. It is surprising, considering that IDCs were severely hit by the recession. Half of the companies surveyed had suffered



a downward trend during the recession, 30 per cent managed to keep their graphs flat, while a mere 20 per cent recorded any growth during that period. The impact of the recession on an IDC depended on the vertical it was serving.

However, the downturn also meant a few positives for design companies. First, several ex-pat Indian engineers returned to India, which helped Indian companies significantly strengthen their pool of experienced talent. Second, post-recession, captive centres have begun to increase headcount. Third, in response to tremendous economic and market pressures, there has been a trend toward programmability in India, as in other parts of the world.

So it was not all bad!

Dedicated to delivering the best

IDCs have to deliver the India advantage by designing the best chips and products, and most of the studied design centres seemed to be completely tuned to that goal, prepared to face any technical challenge along the way.

"We always believe in designing the best products, best technology and best innovations for our customers globally. In short, an intersection of technical excellence, innovation and business impact," said Dr Biswadip Mitra, president & managing director, Texas Instruments (India).

Neeraj Varma, country manager-